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This is the FSC for Phase III of the trial. There is a lot to go over. Worse, due to a medical situation, the court cannot speak for more than 10 minutes per hour today. (The court can listen without limit, though.) So we will do the best we can.

First, as to Phase II.

The court has issued its decision in that Phase. Please call the courtroom to get a copy. The decision is substantively the same as it

had been when last we spoke; there are no changes.

Second, the court has received the following materials: (1)

Plaintiff's proposed special verdict; (2) Defendants' proposed special verdict;

(3) Joint Witness list with about 30 hours of testimony estimated; (4)

Plaintiff's short statement of the case; (5) Defendants' short statement of the

case; (6) Defendants' request for additional jury instructions (CACI and 2

special); (6) Defendants' proposed scope of Phase III; (7) Plaintiff's motions in

limine 1-14 as well as oppositions and replies; and (8) Defendants' motions

in limine 1014, as well as oppositions and replies. The court has also received defendants'

notice of lodging transcripts and plaintiff's objections thereto. The court does not have any of the following:

(1) Joint exhibit list; (2) Trial briefs; (3) Joint deposition chart; (4)

Statement of unusual issues; (5) Jury instructions (agreed); (6) Plaintiff's

proposed additional jury instructions; and (7) Good faith estimate of actual

trial time (in hours). As to the trial

briefs, they are optional in a jury trial.

The joint deposition chart is also not necessary if no one intends to

use deposition testimony other than for impeachment purposes. The statement of unusual issues might be moot

if there are none (or if they are essentially flagged in the MIL's). The good faith estimate would be helpful, but

the court assumes that can be prepared easily.

Third, as to the court's availability, the court has two other trials set for August 17. However, if this case is actually ready to go, it will have the priority and those two cases will either trail or be rescheduled.

Fourth, here are the issues that remain. There is no exhibit list. This is a deal killer. No exhibit list, no trial. The exhibit list must list each exhibit, a

statement as to whether the parties agree as to authenticity (which ought to be done unless there is truly a doubt on the subject), and a statement of what objections, if any, are being made to the exhibit. The court encourages the parties to work together on this and waive objections where the parties know that the exhibit is admissible—such as where it is obvious that a foundation can be laid. But the court understands that if there is a question about it, parties like to preserve objections. The court will inquire about this, but it is important. There are no jury

instructions. The court assumes this is an oversight because defendants have submitted their additional list. The list of jointly proposed instructions ought to be filed immediately, along with any additional instructions plaintiff seeks. But no jury instructions, no

trial. Lodging of Depositions. There are rules about who needs to lodge. According to the general rule (if the court's memory is correct), the party with the original transcript needs to lodge it. That said, the parties might want to agree that a certified copy can be lodged instead so long as it has all corrections made by the deponent, and they might want to agree that the party intending to use the deposition transcripts will take care of lodging the transcript. As to trial transcripts, the parties ought to just split the cost of it.

Short statements of the case.

They are not short. The court suggests the following: mini-openings.

The court would suggest that before voir dire, each side give a mini-opening not to exceed 4 minutes in length.

That way the parties do not have to agree on language, and some detail beyond the typical short statement can be given. Defendants will decide between themselves how to allot their four minutes. Special

Verdicts. The court sees that the parties differ. They ought to meet and confer further, but if they cannot come to an agreement, the court will ask that the parties submit a red-lined version with the redlining be defendants' version. Hopefully, that will clarify

the major differences. As a general proposition, the traditional way to deal with verdicts is not to have a preliminary statement in the verdict form about facts that the court has ordered. Those will be included in the jury instructions and the jury instructions will be in the jury room for the jury's reference. Rather, the court prefers that the verdict form be limited to questions the jury must answer. The court typically sees each element listed as a separate question with liability first. If the element is conceded, sometimes there is a question, and sometimes not. After the liability questions, then would come affirmative defenses as to liability, again with each defense separately set out and with each disputed element as a question. The court would generally not include damages here—although the court has seen it done. That is because where the damages essentially overlap, juries get confused and the court has seen it mess up. The court does not think that the damages here for the various causes of action are separate such that they get added together, and other than prejudgment interest, the calculation would also seem to be the same. If a cause of action could lead to punitive damages, the punitive damage question would be there. After liability and affirmative defenses that go to liability would come damages. Then would come a question as to mitigation—was there a failure to mitigate, and, if so, the amount of it. And that would lead to the final net verdict. The parties need not do it that way, but in the event of a conflict, the court would tend to gravitate to that methodology.

Fifth, the motion to compel.

Generally, the court views punitive damages subpoenas as proper at the start of the trial. The statute limiting discovery of punitive damage information has no application to a trial subpoena, so it is proper. Further, because punitive damages will begin immediately following the jury's verdict finding them appropriate, the court will not make plaintiff wait until then for the documents to be turned over. Plaintiff needs to be ready to go immediately, and having to sort through a bunch of papers on the fly is not proper. The documents will be subject to an automatic protective order and may not be introduced without leave of court until the punitive damages phase, though. So the documents will be turned

over on Monday, August 17, 2026, if the case remains on track. That leaves the question of overbreadth. And here, the court has concerns. Normally, it would not be that hard. But here, in Phase II defendants' experts testified that the books and records were not reliable. Given that, the court is hard pressed to do what it usually does, and simply have what are essentially accountants' records turned over. Rather, the court tends to agree that plaintiff will need underlying documents. The court is seriously considering tax records given the financial issues here. Certainly that is appropriate for NHH. But the court is considering it for Mavaddat as well. The court is considering it, but is reluctant to do so if there are other options. The court tends to agree that perhaps the four months of most recent statements from any financial institution associated with Mavaddat or his entities (directly or indirectly) would be a good way to ascertain his assets other than real estate and currency. As to real estate, the court would be inclined to have defendants turn over the most recent property tax bills for any real estate relating to Mavaddat or his entities (directly or indirectly). And finally, the court would think that Mavaddat ought to turn over any promissory notes as to him or his entities (directly or indirectly) whether he is the borrower or the lender and any financial records within the last 12 months related thereto (like payments made or received). That is relatively specific, not overly burdensome, and ought to give plaintiff enough information to meet its burden of showing defendants' net worth. The court recognizes that there are some assets that might not be listed—for all the court knows, Mavaddat owns a yacht—but it ought to be enough to get plaintiff where it needs to go.

Sixth, here are the court's thoughts on the MILs.

Plaintiff's MILs.

1—DENIED. More context is needed. Plaintiff claims that this will be a character assassination attempt by the defense. The court will be open to a 352 objection if this is really just character evidence, but more specificity is needed. 2—MOOT.

The court has already ruled that defendants did breach the contract, and the jury will be so instructed—as to dilution to zero. But the court has not ruled as to any other breach, and defendants are not precluded from arguing that there are none. Further, defendants are not precluded from arguing that their breach is excused based on an affirmative defense or some other theory not adjudicated in Phase I.

3—DENIED. This is really a disguised MSJ. But the court notes that

in its ruling in Phase II, the court concluded that the failure to meet the capital call is not a breach. Defendants will not be allowed to argue the contrary.

4—GRANTED. The court has ruled that the November Agreement did give rise to a duty. It is not a fiduciary duty, but it is a duty. In fact, all contracts put duties on the parties thereto. But to the extent that the issue is whether property was held in a formal trust, the court has already ruled on that. 5—This is similar to 4, and the ruling is the same. 6—MOOT in part DENIED in part. It is moot in that defendants are not suggesting that plaintiff be restored to its interest now. But the offer to restore plaintiff's interest in return for the capital contribution is admissible. That was not a settlement offer (like the \$3.2 million was). It was conditioned on nothing. If plaintiff made the payment, the interest would be restored.

Plaintiff was not being asked to waive the right to sue over anything. As such, the evidence is not excluded and is not subject to 1152. 7—DENIED. That will be a matter of expert testimony. But having said that, defendants are warned that their expert will need to be able to point to some authority other than his unilateral view that NCI's contribution is a capital contribution. Were the court to rule on it based on the record right now, it would exclude that evidence. A loan is not a capital contribution, and that would seem to be economics 101. A lender has priority over equity in many ways—such as getting paid out first in the event of a dissolution. So defendants' expert will need to point to some neutral and authoritative source for the view that if Mavaddat mentally thought it was a capital contribution, the way it was legally recorded is of no moment. The court very much doubts that Mavaddat would take that position were there a bankruptcy proceeding. 8—This is pretty much the same as 7. 9—This is also pretty much the same as 7. The court is not inclined to hold an 802 hearing, but defendants are warned that the testimony will be stricken and the jury instructed to disregard it if the expert cannot point to some principle that bolsters the notion that intent is the guiding light rather than the way the financial transaction is actually structured—especially where this is not done by an amateur. 10—DENIED. First, plaintiff agrees that testimony about

a reduction due to a lack of control is appropriate. The issue is the capital contribution. Frankly, the court does not even understand

defendants' theory here. But the court

will hear the testimony. During Phase

II, though, this part of the opinion just seemed to be misguided. The value of the economic interest for which

plaintiff had already paid is not going to be reduced by the amount that was

already paid—that is simply double-dipping by the defense. If the theory is the amount plaintiff could

have received had plaintiff sold the interest, again, it is double

dipping. If the question is how much

would an investor have to pay NHH for the economic interest, then the amount

that would have to be paid makes sense—maybe.

But that is not the question. So

if defendants' expert is going to testify about this, the court will allow

cross examination and might well instruct the jury that the expert's opinion

should be disregarded as a matter of law as it is based on no valid economic

theory. While the rest of the opinion

will stand, the defense is warned that such an instruction—which the court will

not hesitate to give—will likely cause the expert's remaining opinion to be

viewed with distrust by the jury. 11—DENIED. This is a disguised MSJ. 12—DENIED.

This is a disguised MSJ. 13—MOOT.

They were decided in Phase II. 14—DENIED. This is an MSJ. However, if the mitigation is that plaintiff

could have settled, that will be excluded under 1152. Failure to accept a settlement offer is not a

failure to mitigate.

Defendants' MILs.

1—MOOT. Plaintiff is not going to

argue that this was a trust. 2—MOOT. Plaintiff is not going to argue that it was a

member of NHH. 3—MOOT. Plaintiff is not going to argue about

contract interpretation as that has been decided. To the extent that something else is at work,

the court does not know what it is. 4—DENIED. The court does not know what this is. But to the extent that the ambiguity is being

used to explain behavior, it is not improper.

To the extent it is an invitation for the jury to interpret the

contract, the court has decided it. 5—MISSING. 6—DENIED.

The court is not going to exclude plaintiff's expert. But the court assumes that the expert will

not use words like "theft." 8—DENIED. NHH is a single asset/purpose entity. It owned the land on which a hotel sat. Pretty much nothing else. When valuing a single asset/purpose entity

like that, the principal way to do so is to value the asset and then make

adjustments for unique stuff—like furniture at headquarters, a loan the entity

has on the books to buy the property, and the like. But basing the value of NHH on the hotel's

value is not improper. The jury will

decide what weight to give that theory.

9—DENIED. Defendants can argue to

the jury the weight that ought to be put on the tax records, and an expert can

opine that something is proper for tax accounting but not for damages. However, what one tells the government is some indication of what one believes is the truth.

10—DENIED. This is a disguised MSJ. The court notes that the money in a capital

account cannot be converted because the account owner generally has no

possessory interest in that money. But

the account itself can be converted. If

a corporation sells someone stock, and then gives those same shares to someone

else, that seems like conversion. But

the court is not 100% solid on that, and there could be differences. 11—GRANTED.

The issue here is the theory that stuff happened later. The court's view—and the court thinks

plaintiff is not arguing the contrary—is that plaintiff should be restored to

the value of its interest (diluted proportionately) as of the time of the

wrongful dilution to zero, plus interest.

What happened later is of no relevance.

If the hotel had been hit by a meteor later on, that would not reduce

plaintiff's interest. If Mavaddat

wrongly sold part of the hotel years later, the court is having trouble

understanding the relevance. And

defendants are not attempting to "restore" plaintiff to its current economic

interest. 12—MISSING. 13—MOOT.

Plaintiff states that it intends to do this only during the punitive

damages phase. This kind of evidence

might be relevant then, but the court would need to see the particular

evidence. And there are 352 issues to

the extent that it is just character evidence going outside of this

transaction. 14—DENIED. This is a disguised MSJ.

The court does not anticipate calling a jury venire on

August 17. Rather, assuming that the

case makes it through today, the court will hold a pretrial conference on that

date to make sure that we are ready to go.

For the parties' aid, the court sets forth below its trial

instructions.

TRIAL PROCEDURES

The court does not know if the parties have retained a court reporter. If not, then the parties are

ORDERED at the conclusion of each day of trial to have lead counsel MEET AND CONFER to arrive at an agreed settled statement. The meeting will last until the earlier of: (1) reaching an agreement; or (2) midnight.

No later than 9:30 on the following court day, the parties will submit the agreed statement to the court. If

the parties cannot agree, they will submit plaintiffs' proposal red-lined against defendants' proposal. On even

numbered calendar days, plaintiffs will be responsible for the submission. On odd numbered calendar days, defendants will be responsible for the submission.

(That refers to the day of the month for the trial, not the day of submission.) Alternatively, the parties

may elect to waive appeal, although the court STRONGLY ADVISES AGAINST IT. The point of the settled statement is to have

a record for appeal of what occurred during the trial (beyond that reflected in the Clerk's Transcript). If there is no appeal, there is no need for the statement.

The reason that the court is ordering daily meetings is because too often that process begins after the notice of appeal is filed, which could be months after the trial has concluded. By

that time, memories have faded—especially the court's memory. Yet the parties must either agree or the court must settle the statement. In the court's experience, the sooner that is done, the better. If there is a court reporter, of course, then this is not needed.

The court holds trials Monday through Thursday, starting at 10:30. Fridays are reserved for other

matters, but the jury can deliberate on Fridays. The court has an ELMO available for the parties' use. Other technology must be provided by the parties and the parties need to work with court staff to be sure that it will be up and running as needed.

The technology the court has allows a party to put a document on a screen that can be seen only by counsel and the court. That can be used when an exhibit is being used but has not yet been admitted.

Sadly, though, the witness cannot see the document, so the witness will need a hard copy.

The court does not appreciate speaking objections. The parties should be very careful not to divulge the contents of a document or an exhibit to the jury through

questioning until the document or exhibit has been admitted.

The court will allow use of the screens for opening statements (but not the mini-openings). Please remember that opening statement is opening statement, not opening argument. The slides need not be exchanged in advance, but the parties should be careful not to abuse the privilege with slides that go beyond organizational type slides (like a topic index). Documents can be shown to the jury or a transcript read to the jury only if there is no good faith objection to that testimony or document. Otherwise, it can be described to the jury but not read or shown.

The parties will lodge on the first day of trial the following trial notebooks. Volume 1: (1) The operative complaint; (2) the operative answer; (3) any substantive rulings made by the court that are binding at trial; (4) the witness list; (5) the exhibit list; (6) the short statement of the case; and (7) motions in limine and rulings. Volume 2: A list of jury instructions as well as the instructions themselves as they are to be read to the jury (meaning no brackets or the like) and in the order in which they are to be read. If there is a disputed instruction, it will be so noted on the list.

The actual draft instructions follow. However, where there are dueling instructions, they will be placed together. Volume 3: Exhibit binder. There must be a binder for the court, the witness, and the judicial assistant. The parties will also lodge the deposition transcripts of any witnesses on the witness list. The parties should also inform the court before the jury venire is brought in whether they want to do "mini-openings" to the venire (as the court has suggested). If they do, they will be limited to 4 minutes per side and the court will not read the short statement of the case.

For voir dire, the court generally gives the venire an introductory statement and reads the short statement of the case (or allows the mini-openings). The court then gives additional information about the case—such as the list of witnesses and the estimated length. The court then deals with hardships, releasing jurors for the remainder of the day who do not claim hardship. The court asks the parties to meet and confer regarding any jurors to which they will stipulate there is a

hardship or to which they both believe there is no hardship. The court then conducts the hardship examination. While the court encourages agreement of the parties, the final hardship decision is the court's alone. Note that this is before voir dire. The remaining venire typically convenes the next day and voir dire begins.

The court generally uses a "six-pack" procedure. Voir dire begins with the court, then with plaintiffs, and then goes to defendants.

Voir dire may be had as to all 18 jurors first selected, although the court will discuss whether voir dire can be had as to the entire venire (it depends on how many there are in the venire).

When voir dire is concluded, the court will typically excuse the jury or conduct a side-bar with counsel to discuss challenges for cause. The defense goes first and makes all challenges for cause the defense wishes to make. A challenge for cause can be made as to any juror for whom there was voir dire.

After the defense, plaintiffs will make their challenges for cause. When those challenges are resolved, the successfully challenged jurors are excused, the venire reconvenes, and the "box" of 12 is filled to the extent of successful cause challenges. After that, plaintiffs and defendants may exercise peremptory challenges, alternating between plaintiffs and defendants with plaintiffs going first. Peremptory challenges may only be made to the 12 jurors in the box, not to those not yet in the box. A "pass" by one side does not use a challenge nor does it establish that the remaining jurors are immune from peremptory challenge. If the box cannot be filled due to challenges, additional names will be called for the six pack. Voir dire will then go forward as to the newly-called prospective jurors only, after which the court will go through the cause procedure (as to the newly called jurors only) and then peremptory challenges, which can be made against any juror in the box. If a party makes a Batson/Wheeler motion, it must do so before the challenged juror is actually excused. The reason is so that the court can re-seat the juror if the challenge is successful.

When the 12 members of the jury are chosen, the court will utilize a similar procedure regarding alternates, still using the "six pack." Peremptory challenges can only be made as to the jurors who are actually in the alternate seats. The jurors are usually sworn when the panel and alternates have been selected. In the event that a second venire is needed, the court will discuss procedure with the parties. The court reminds the parties that, while some latitude is allowed during voir dire, the court will not allow pre-conditioning of the panel.

The court views there to be multiple parties on the defense side. Accordingly, each side will have 8 peremptory

challenges to the jury and the defense can allocate between themselves. The court's initial thinking is that there will be four alternates. Each side will therefore have four peremptory challenges as to the alternates.

The court advises the parties to discuss the following two stipulation before jury selection begins.

First, an agreement on fewer peremptory challenges. For example, 6 per side may be sufficient, or 2 per side for alternates. The reason is

that the court would like to avoid having to call panel after panel, and the challenges could cause the court to do that.

Second, an agreement as to whether a verdict can be returned with less than 12 jurors. This would only

occur if we run out of alternates midway through the trial. If that happens, and if we lose an additional person, then there are only 11 left, and a mistrial is automatic. To get around that, the parties might want to agree that if, and only if, that occurs, a verdict can be returned with fewer

than 12 jurors. If such an agreement is

reached, the parties will need to agree on how many jurors will be enough. For example, the parties might want to agree that as few as 8 jurors can (if necessary) deliver the verdict. The parties will also need to agree as to the number of jurors that must agree for a verdict.

For example, if 11 jurors can deliver a verdict, do 9 of them have to agree, or will 8 suffice? The court

urges the parties to discuss this now because once voir dire begins, reaching an agreement becomes exponentially harder.

If an agreement is reached on either stipulation, it should be recited to the court. If no agreement is

reached, the court does not want to know who was willing or not willing to agree. Only that no agreement was reached.

At the close of each day, the parties will exchange the witnesses that each intends to call in the next three court days and the order in which they will be called. The court

understands that plans change, but a good faith list will be given. This allows the parties to best prepare for cross examination.

Although the court does not require this, the court has a suggestion: witness notebooks. This is a

notebook that is unique to each witness and has the documents that the party intends to use with that witness. By

putting these documents in a single notebook, the witness (and the parties and

the court) will not have to keep going between bulky binders. Such a notebook must be exchanged with the other side at the start of the examination.

The court urges the same for cross examination (excluding documents purely for impeachment). While that

might give a bit of a heads up to the witness, not much, really. The court has seen this in use, and it is amazing how well it actually works, although it takes extra effort.